Barclays Bank Kenya

2016 Annual results announcement

22 February 2017

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Charles Muchene

Barclays Kenya Chairman

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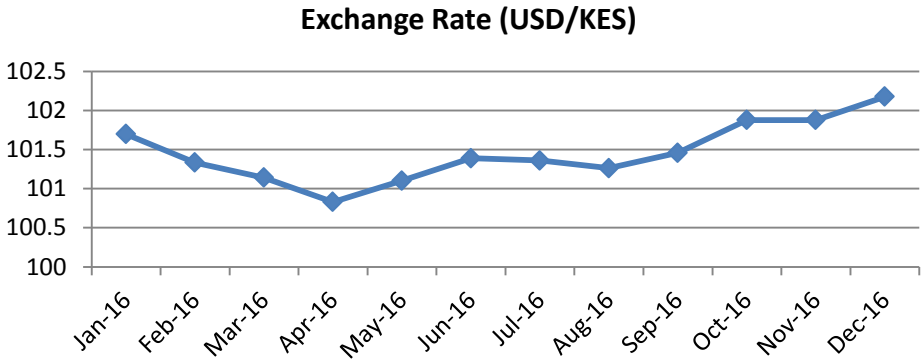
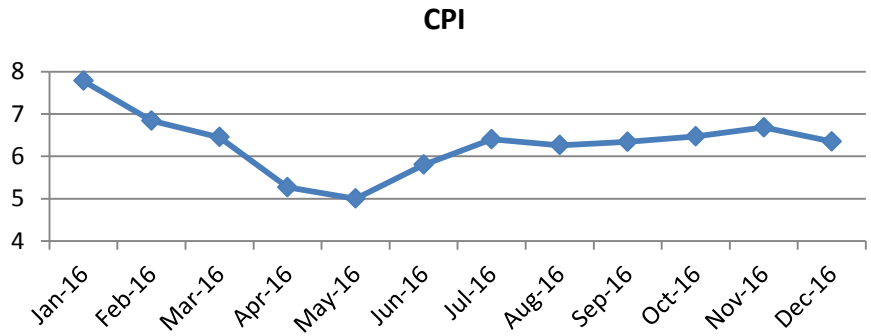
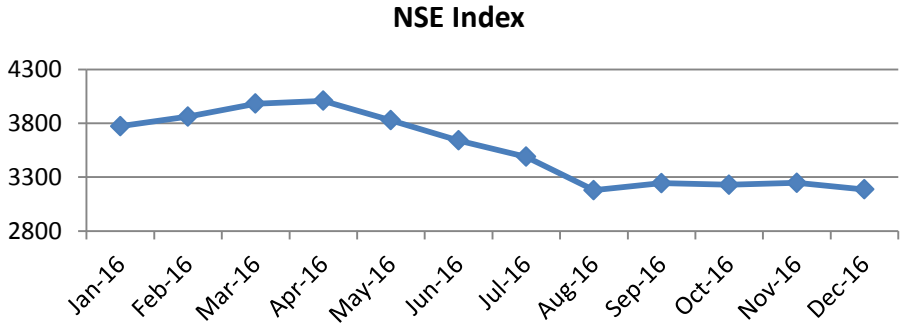
Jeremy Awori

Barclays Kenya Managing Director

2016 saw a turbulent and increasingly unpredictable operating environment







- Kenya shilling remained resilient on exchange rates (USD/KES)
- Fed change in monetary policy potential downside risk to local rate
- Inflation managed within set target. Continued dry spell and Global oil prices to watch.
- CBR rate unchanged at 10%.
- NSE Index declines further on the back of corporate earnings expectations
- Listed company Profit warnings continued

*Sources: Reuters, Barclays Africa Research,

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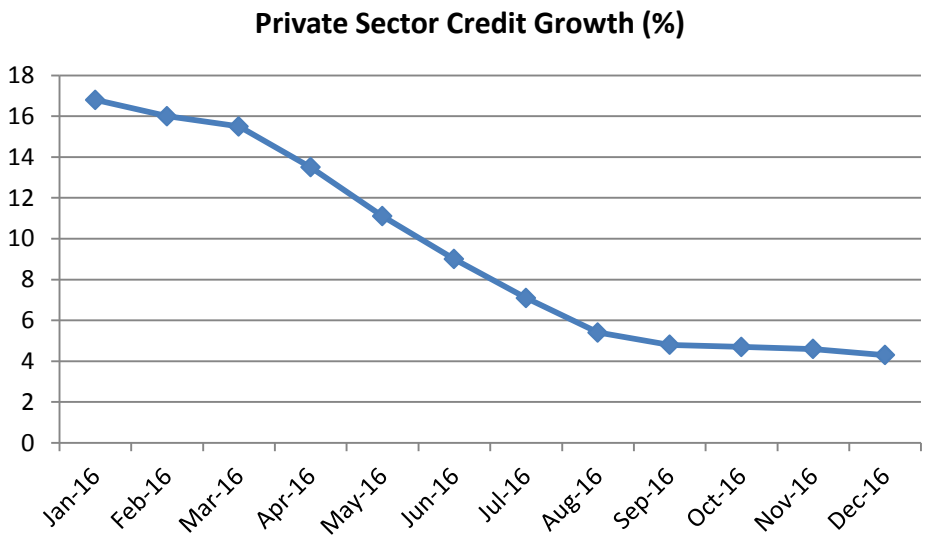
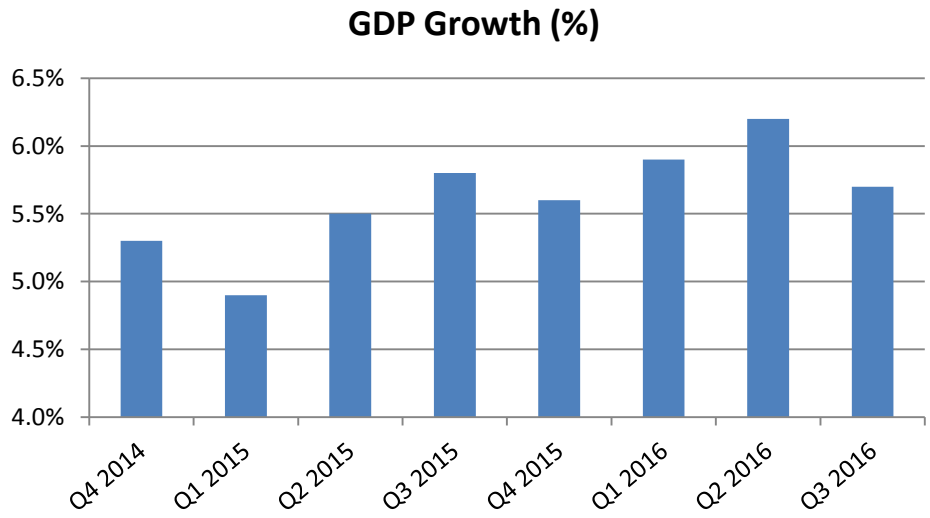
…with slowing private sector credit growth





- Changing business models and retrenchment levels.
- More stringent banking regulatory environment
- Recovery of the tourism sector and infrastructure investment backed growth.
- Slowdown in Agriculture and financial intermediation are potential downside risks
- Geo-political risk -Elections in Europe, Trump administration and Brexit

*Sources: Reuters, Barclays Africa Research,

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Regulation in the financial sector continues to evolve and become more rigorous

- New regulations; IFRS 9, ICAAP
- Banking Amendment Act 2016
- Enhanced oversight of commercial banks; systems audit, insider lending & AML audit
- Strengthening Central Bank supervision as well as Kenya Deposit Insurance Corporation
- Competition Authority regulation

To bolster stability, Central Bank closely managed banks under statutory management;

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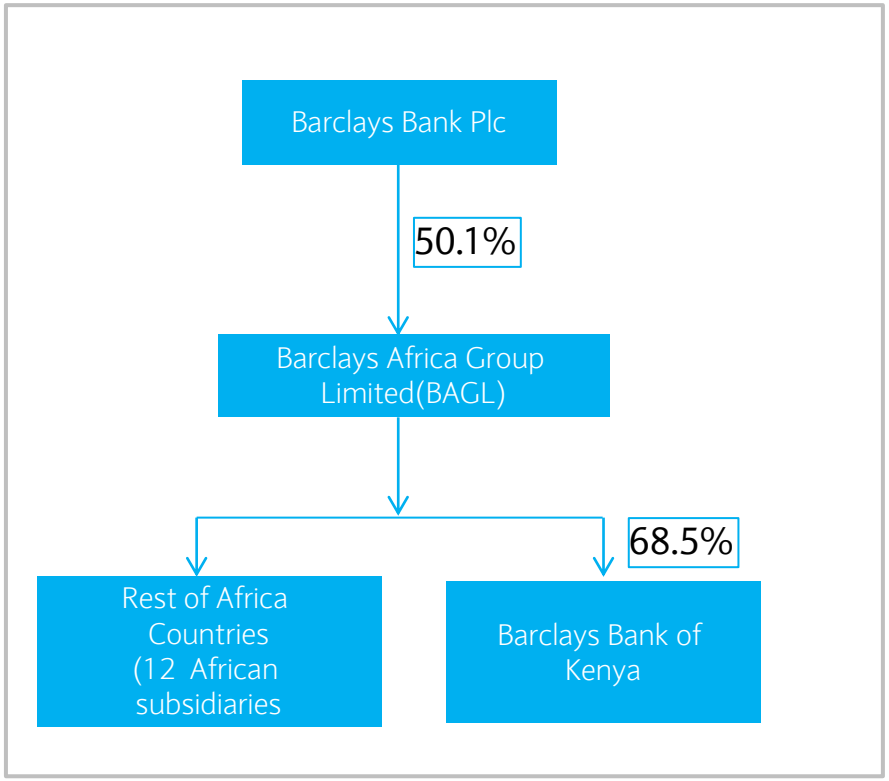
Barclays Plc. announces reduced stake in Barclays Africa Group Limited whose commitment to the continent and Kenya remains



Barclays Africa well capitalised

- Number of Customers-12.5M
- Employees- 41,247
- Number of ATMs- 10,299
- Branches- 1,238
- Customer Loans (June 2016 - Kes 5.7 Trillion)
- Customer Deposits (June 2016 - Kes 5.3Trillion

- We remain committed to Kenya
- We continue to invest in our business
- We will keep you updated on the changes as they happen

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Our pillars remain core to everything we do

Our Pillars	
1	Company
2	Customer
3	Colleagues
4	Citizenship
5	Conduct

Our Strategic Drivers

- Accelerated new revenue streams
- Invested in systems and technology
- Enhanced customer propositions
- Increased employee engagement
- Empowered communities around us
- Continued focus on strong controls

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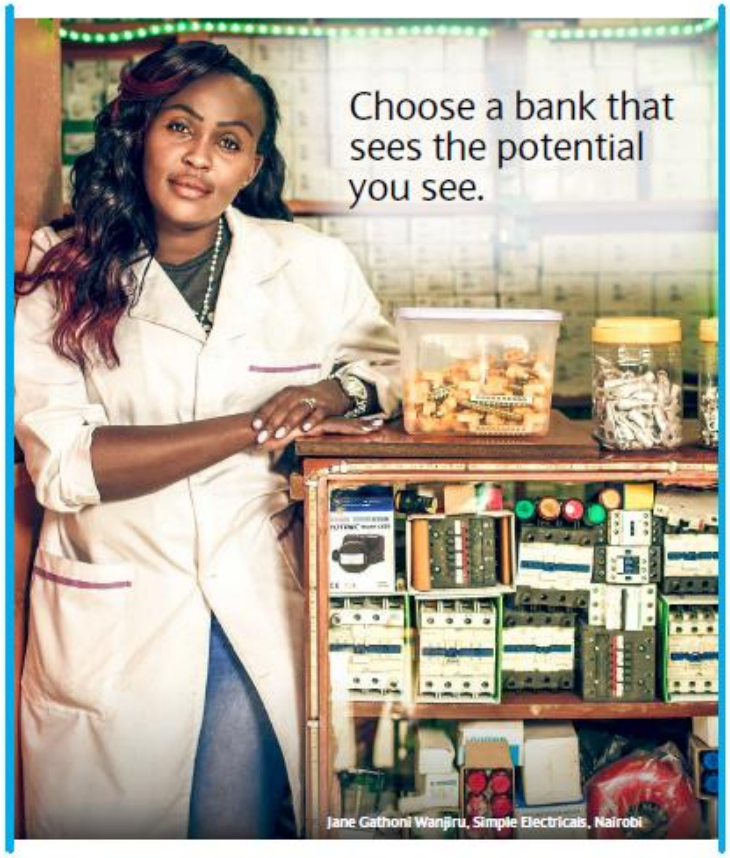
We diversified our balance sheet and accelerated growth in new revenue streams



We're committed to see your business grow.
Ask us about financial solutions to make it happen.
SMS 'SME' to 20123.

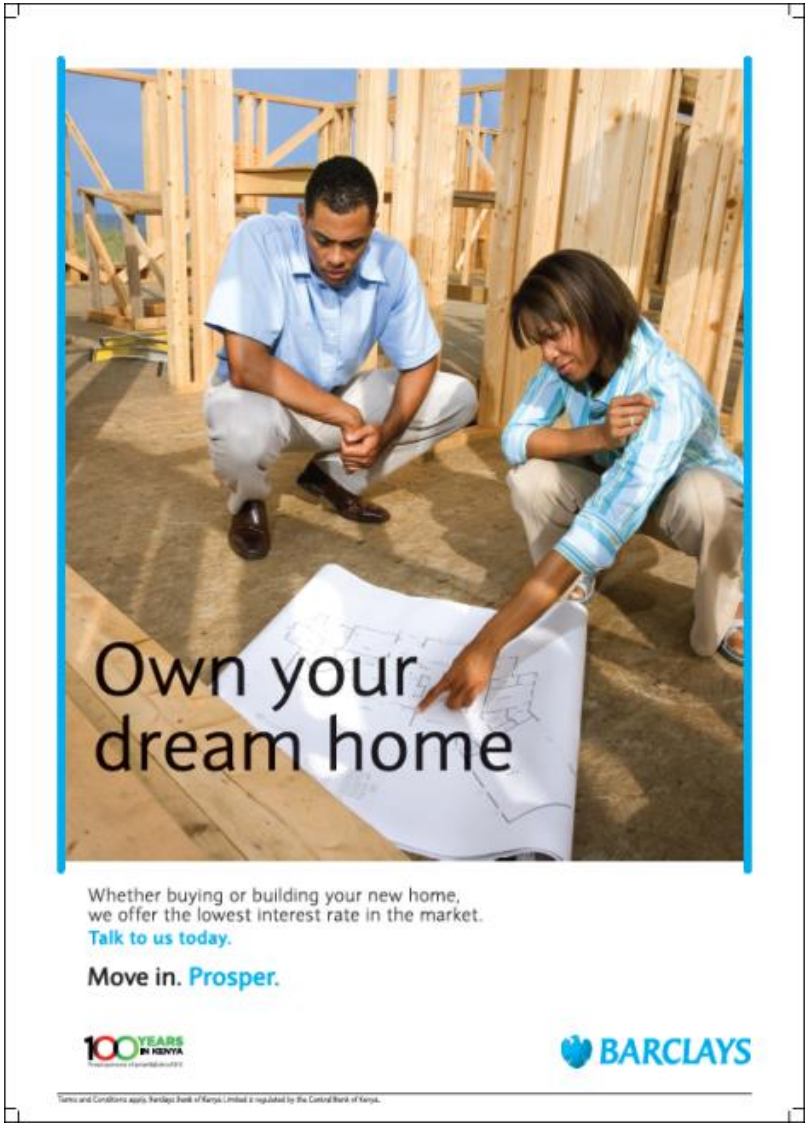
Open doors. Prosper.

Small and Medium Enterprises Banking

100 YEARS IN KENYA BARCLAYS

- Bancassurance
- Fixed income trading
- Grew our SME business
- Launched Agency banking
- New automated cash management proposition
- Launched our stock brokerage business

Investing in our existing businesses remains fundamental…



- Our Corporate banking and markets business grew strongly
- Increased focus on key segments such as public sector
- Expanded our Agriculture business
- Our Retail business remains core with growth opportunities
- Mortgage & Asset Finance business growing well
- Zidisha savings remained popular

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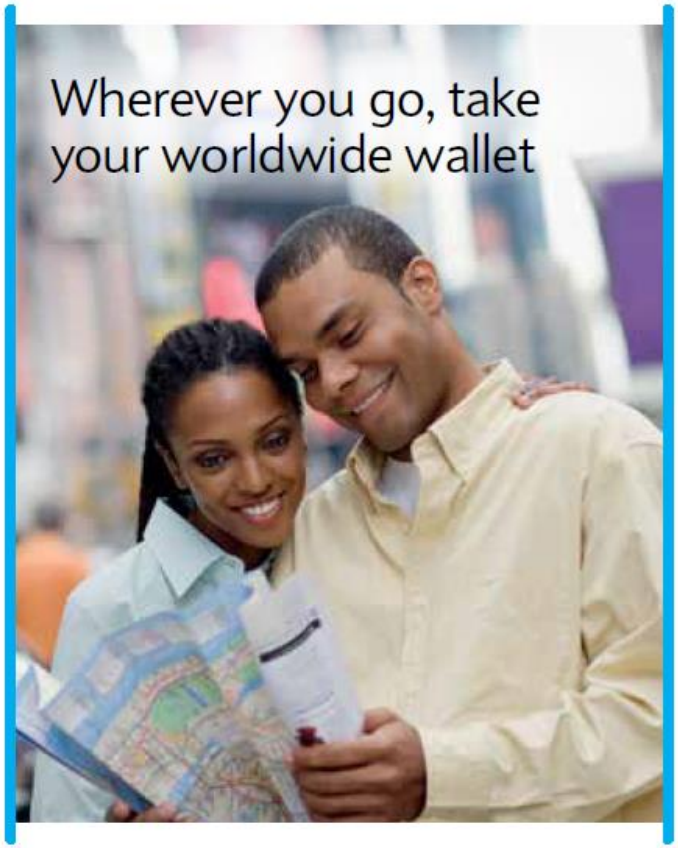
…to drive differentiated and efficient customer solutions



With nine different currencies (KES, USD, EUR, GBP, ZAR, INR, CAD, AUD, JPY) to choose from, the Barclays Multicurrency Prepaid Debit Card is the smart way to shop, dine and pay bills locally or abroad.

Think smart. Prosper.

- Paperless banking to make customer banking experience memorable
- E-statements adoption
- Multifunctional Intelligent ATMs
- Rolled out Queue Management system
- Multi-currency prepaid card
- Mobile point of sale payment solution

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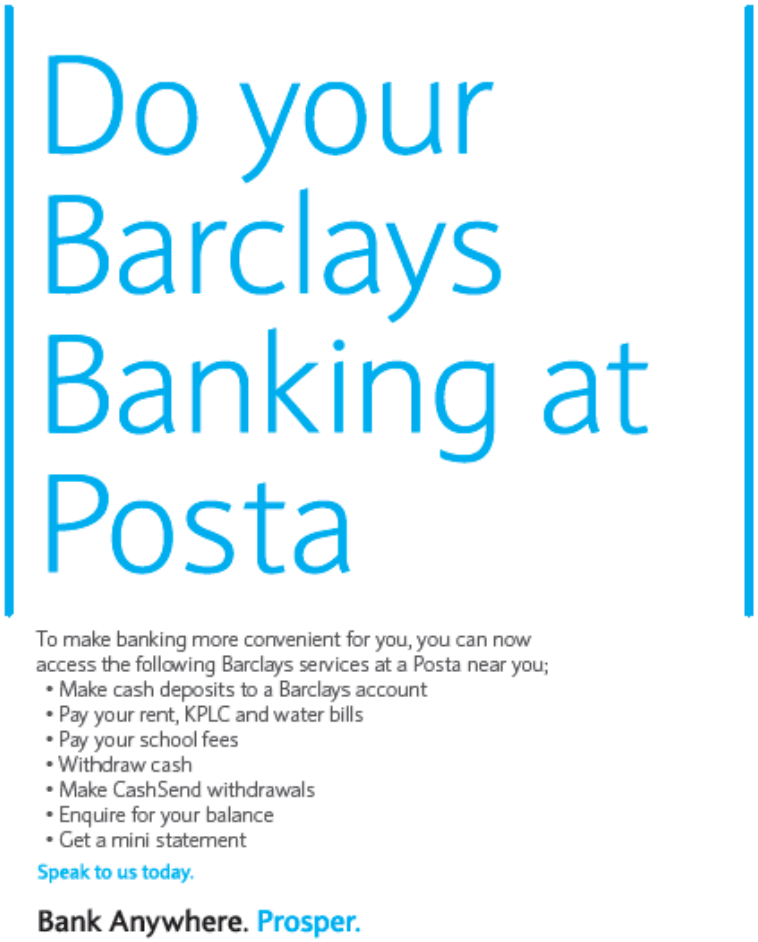
Customer centricity is core to our business



- Investment in systems and technology
- Improved features on our Internet and mobile banking platform
- Optimising our distribution channel
- Driving the innovation agenda
- Implemented new Interactive voice recognition call centre system

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…as we continue to entrench our shared growth agenda

ReadyToWork – impacted 94,000 youth in 2016
Colleague volunteering – 3,691 colleagues impacted 188,000 youth in 1 day

International Youth Fund – 500 youth received vocational training 2,600 youth received financial skills training

International Trade Centre

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Women Entrepreneurs Forum

SheTradesKE

Connecting Kenyan Women Entrepreneurs to International Market

#SheTradesKE

Elevate. Connect. Prosper.

SheTradesKE – empowering 10,000 local women entrepreneurs by 2020

Promoting sports tourism through our sponsorship of Barclays Kenya Open

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We were honoured to be recognised

Overall winner in the banking sector for East Africa

*Record wins in 6 different categories
Financial Reporting Awards 2016

Best Retail bank in Kenya

The Asian Banker
International Excellence in Retail Financial Services awards 2016

Best bank in Corporate Banking

Think Business
Banking Award 2016

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Yusuf Omari

Barclays Kenya Chief Financial Officer

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Our Strategy

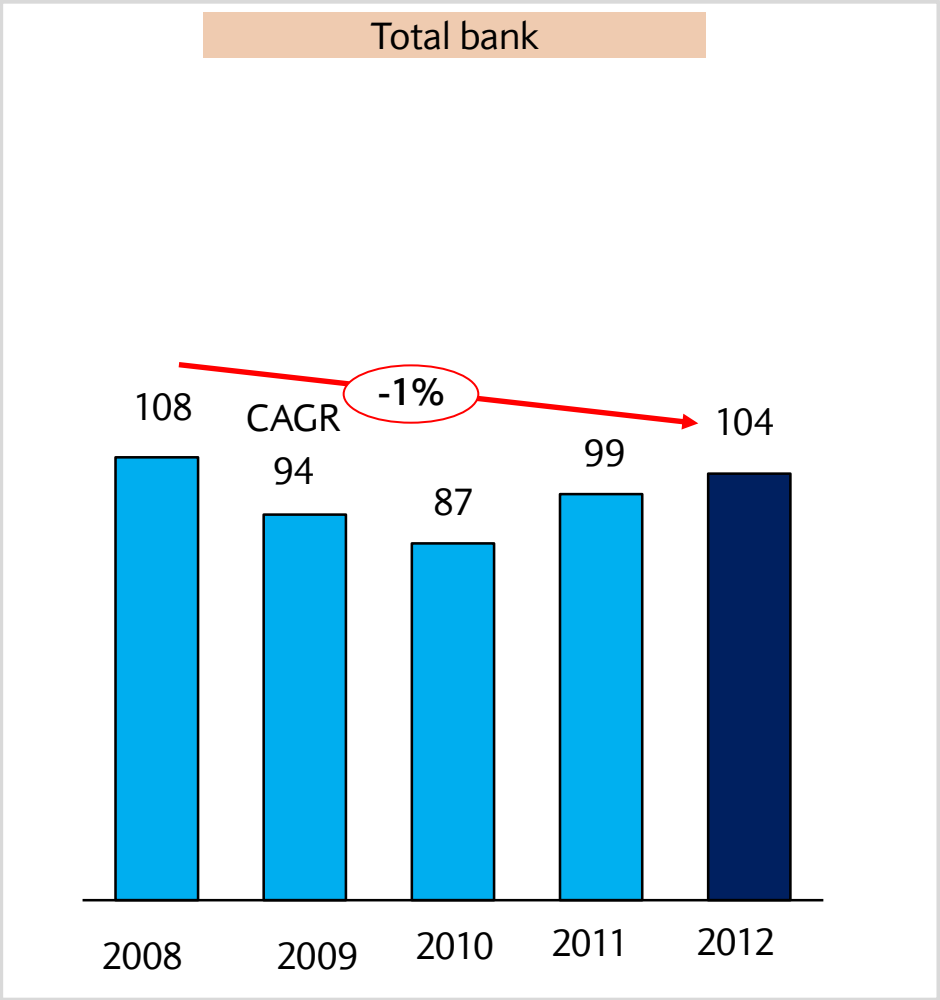
Our strategy from 2013 was to focus on Top line growth (Balance sheet & Income) and deliver sustainable shareholder value

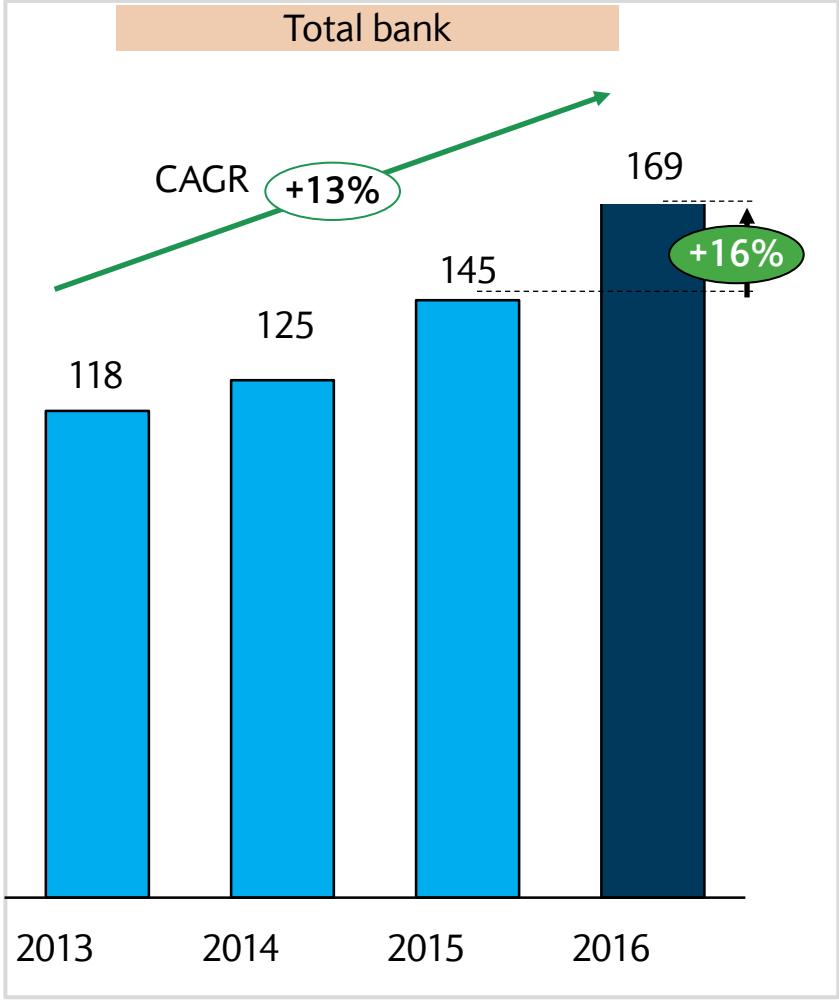
We have maintained our focus on :

- Revenue Diversification to new product lines-e.g. Bancassurance, Fixed income trading, Stock brokerage, Asset Finance and SME
- Growth of our core business (Retail and Corporate and Markets)
- Investment in technology- which is a key driver and differentiator of our services-e.g. stability of core billing systems, Queue management, E-statements, mobile banking, intelligent ATMs

Strong growth in lending across segments

Net Customer assets (Kes bn)





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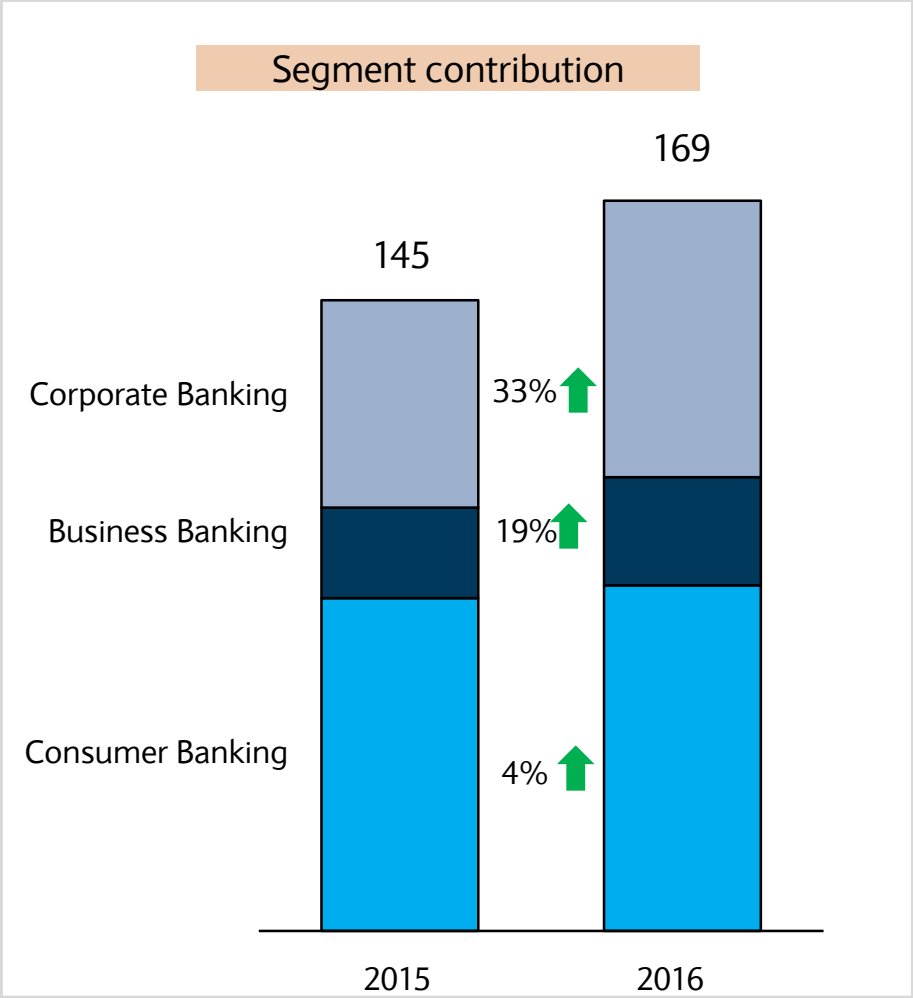
Improved diversification in lending

Loans by segment



Corporate Bank

- Growth in large local corporates
- Public sector
- Multinational

Business Banking

- Focus on SMEs, Asset based finance and agriculture

Retail Bank:

- Prudent lending in light of high impairments .

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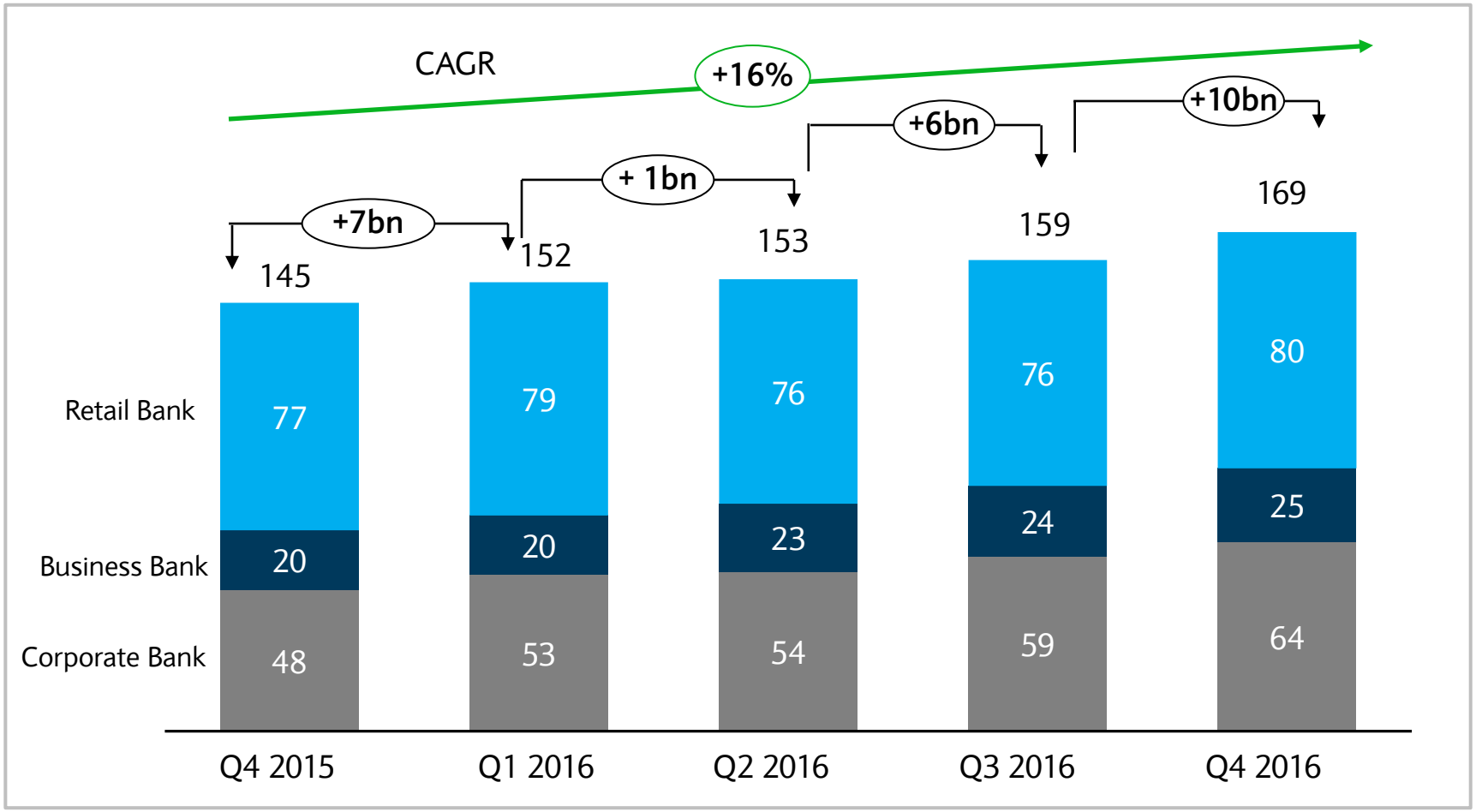
Lending growth more in the second half

Net Customer assets (Kes bn) – Quarter on Quarter Growth



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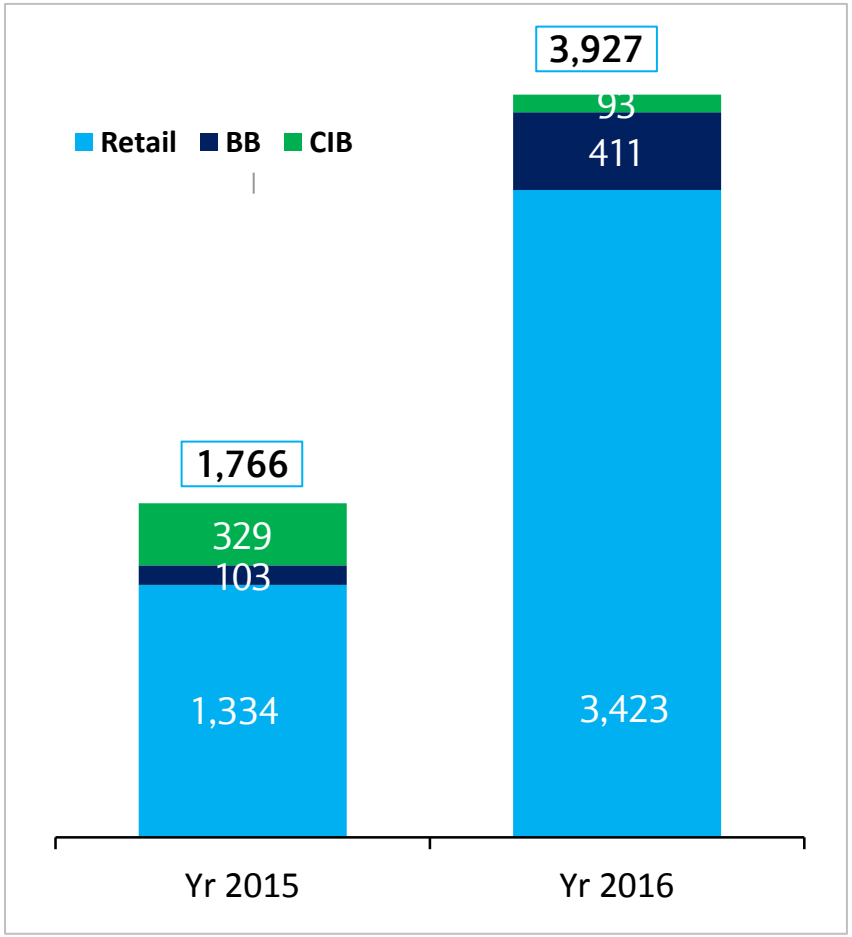
Retail segment driving high impairment



Significant impairment growth on the Personal lending sector driven by:

- Impairment increasing as a result of increase in the lending book.
- Deliberate adoption of prudent impairment models more than the local regulation
- Retrenchment/Job losses from a harsh macroeconomic environment

Way Forward:

- We have invested in people ,systems and process to manage impairment going forward.

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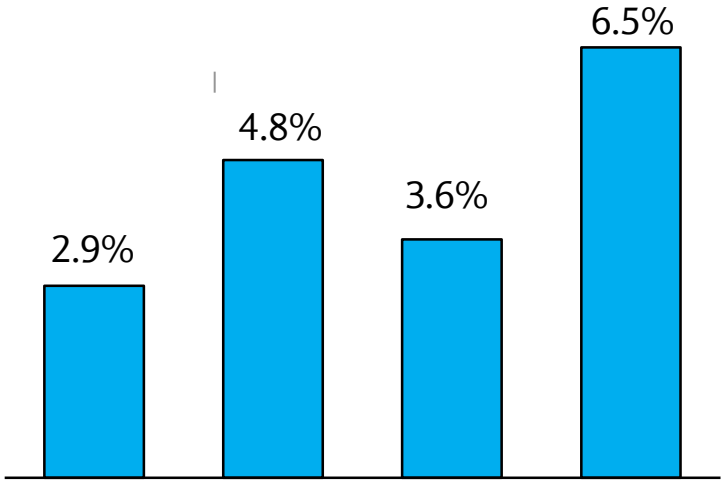
More prudent in our impairment approach……

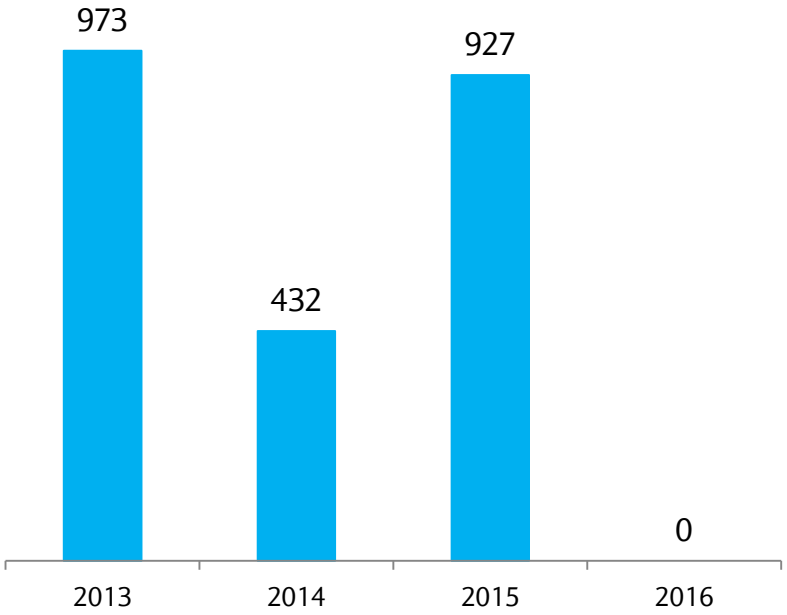
Gross Non Performing Loans Ratio



Industry at 9.1% at Q3 2016

	2013	2014	2015	2016
NPL coverage ratio	89%	83%	73%	79%

Statutory loan loss reserve(Ksh Mns)



- BBK had zero statutory loan loss reserve as at Dec 2016 indicating that impairment numbers reported were higher than the CBK requirements due to the bank's prudent impairment approach

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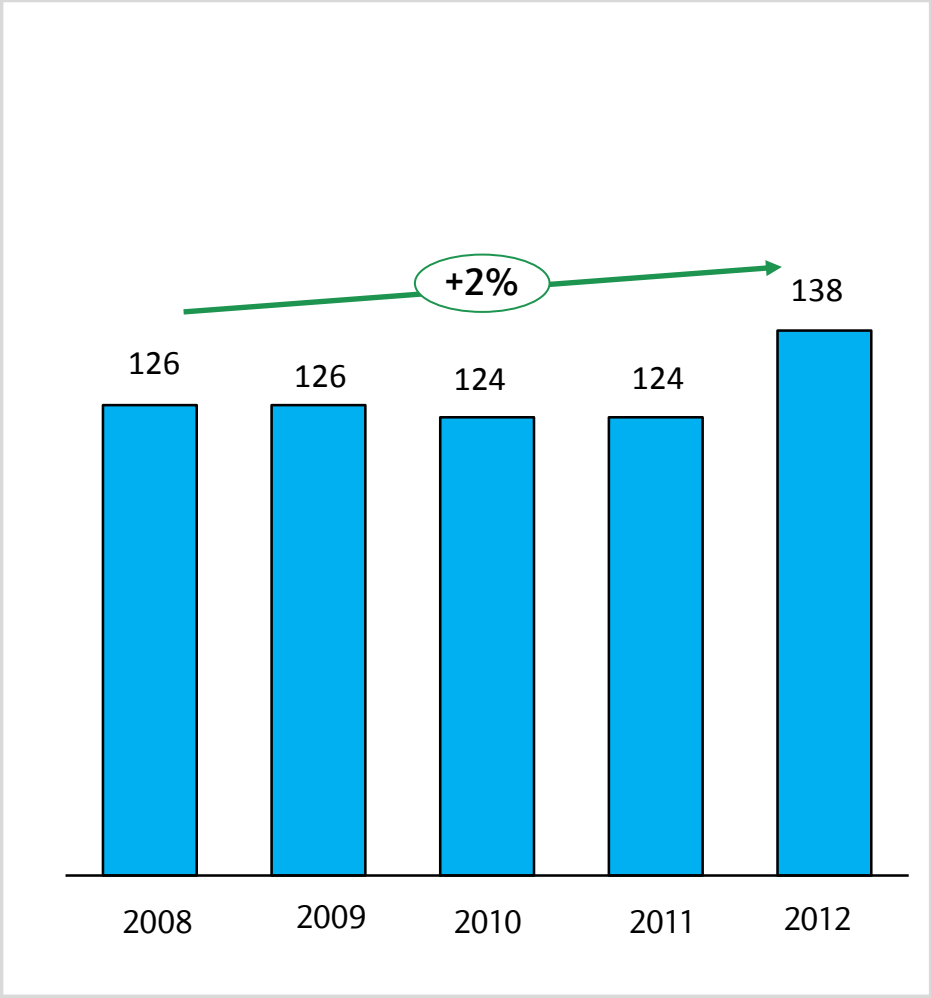
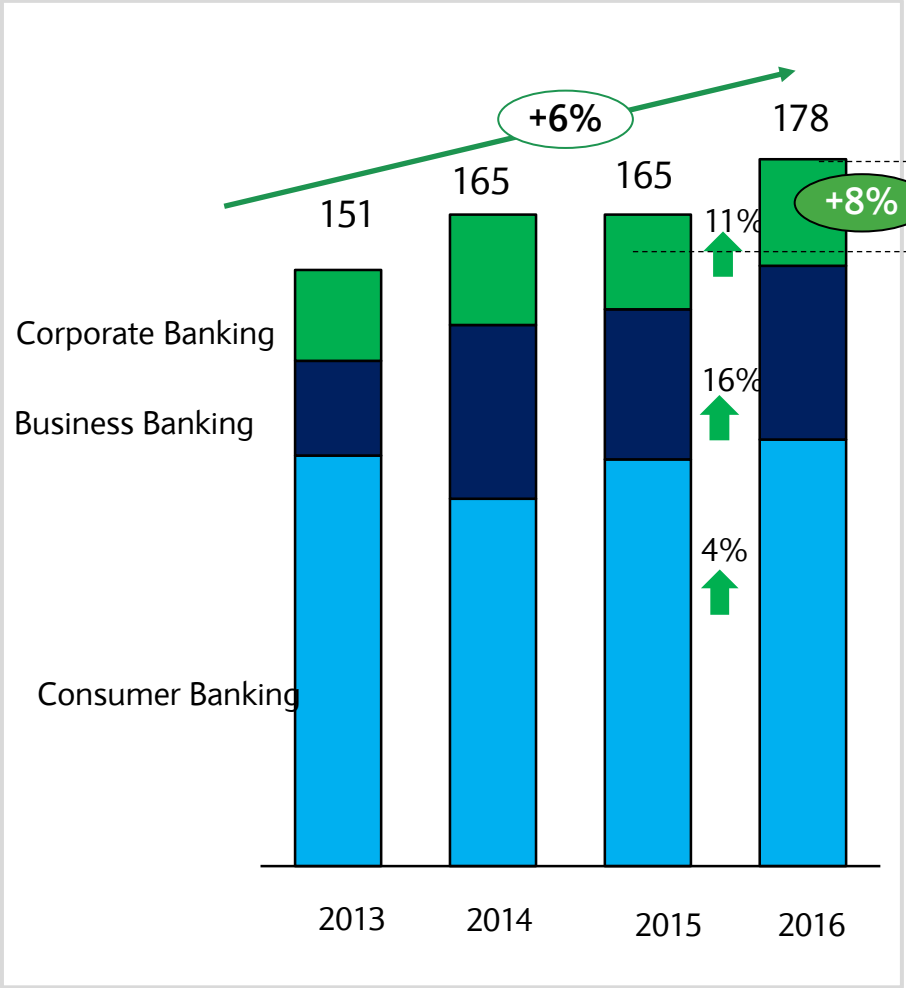
Stable growth in customer deposits

Deposits by segment (Kes bn)



Deposits by segment (Kes bn)



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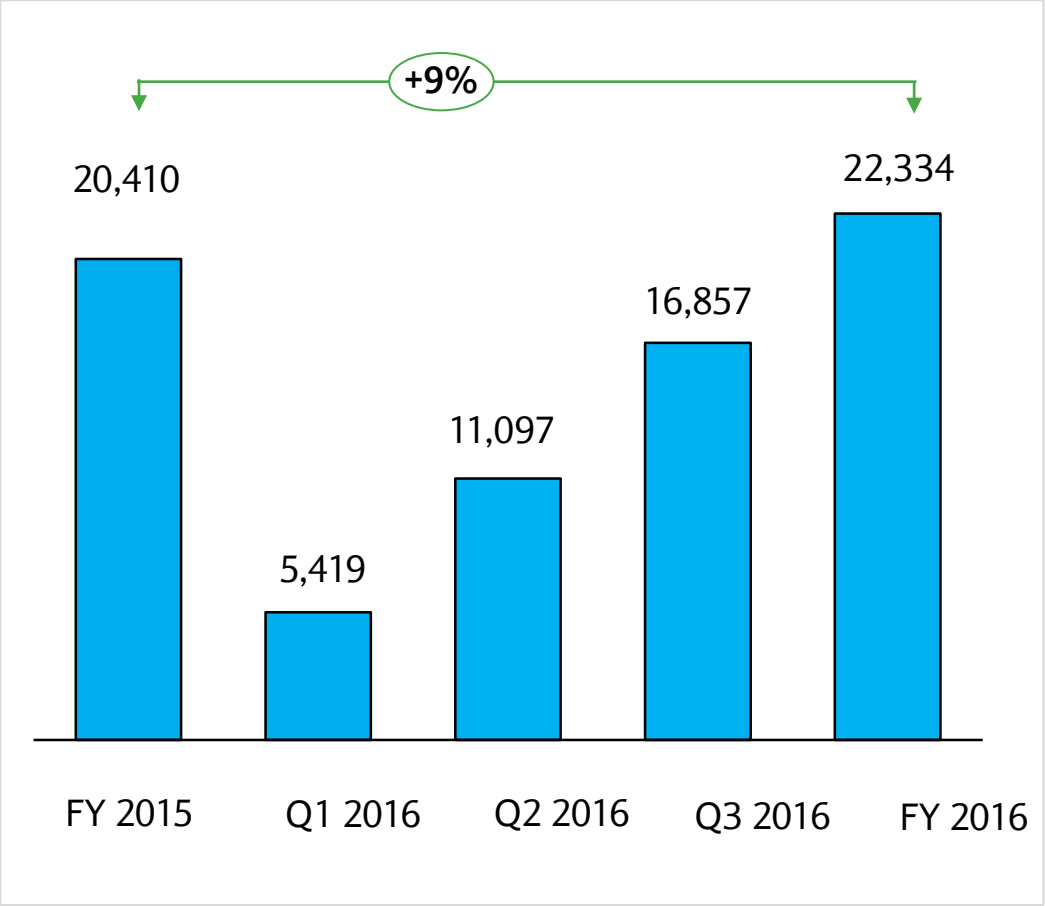
Increase in net interest income driven by balance sheet growth but impacted by Interest rate Cap

Net interest income (Kes m)



Weighted Average effective rates

	Year 2016	Year 2015	Variance
Yield on loans	12.7%	13.6%	-0.9%
Cost of Funds	2.6%	2.7%	-0.1%
Yield on Government securities	10.0%	9.4%	0.6%
Net margin	10.3%	10.6%	-0.3%

Growth in net interest income (9%) driven by 16% balance sheet growth

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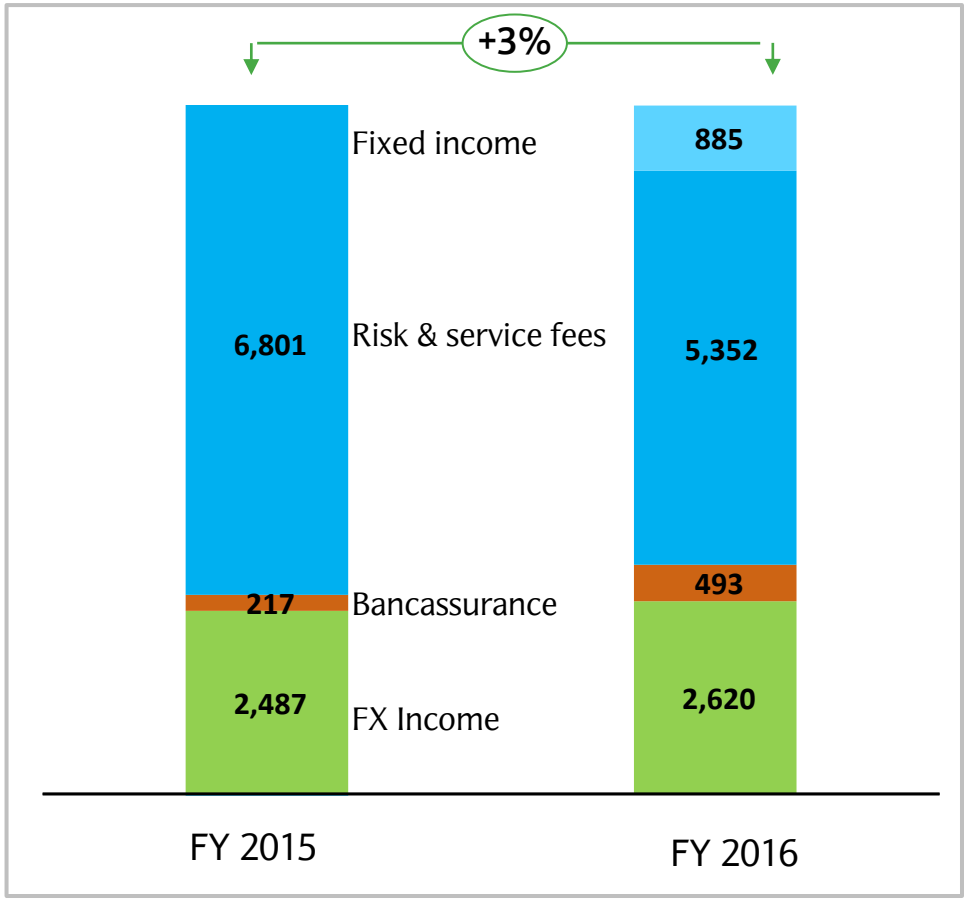
Stable growth in non-interest income

Non Interest Income (Kes m)



Commentary

- FX income growth of 5%
- Significant growth on the Fixed income bond trading from a loss of kes 453m in 2015 to a profit of kes 885m.
- Significant growth on Bancassurance income of 127%,
- Risk fees and service fees impacted by changes in Accounting treatment:
  - Card scheme costs now accounted for under fees
  - Lending fees also accounted for under interest income.
- Adjusting for the above accounting treatments, 12% yoy growth.

Growth in NFI driven by

- Bancassurance – New revenue stream
- Growth in markets revenue –FX income and bond trading income

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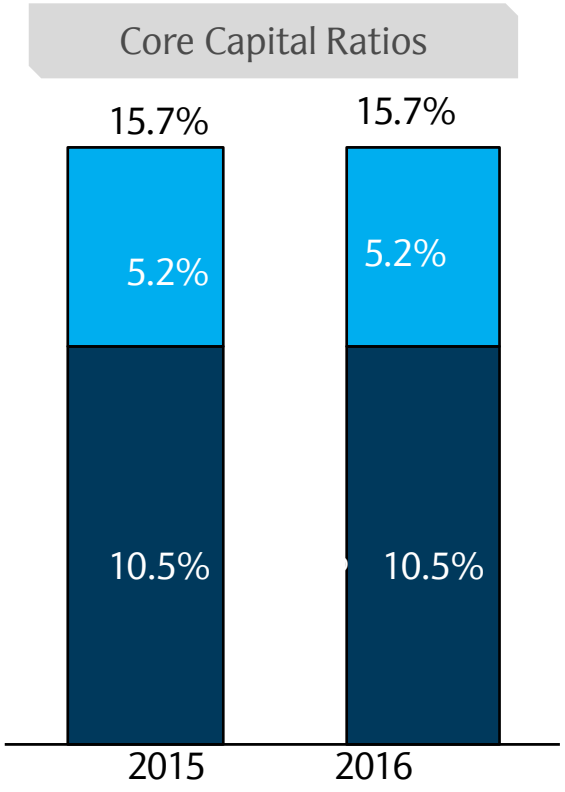
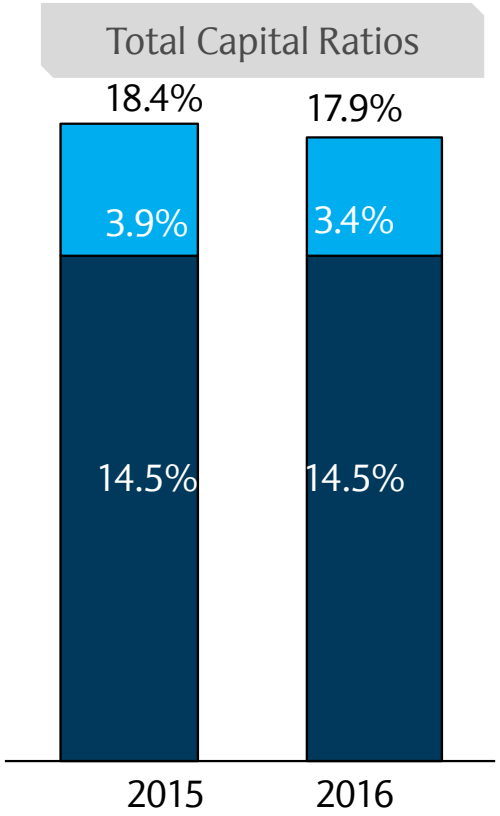
Strong capital to support future growth

..Combined with adequate capital structure…





Buffer

Regulatory Minimum

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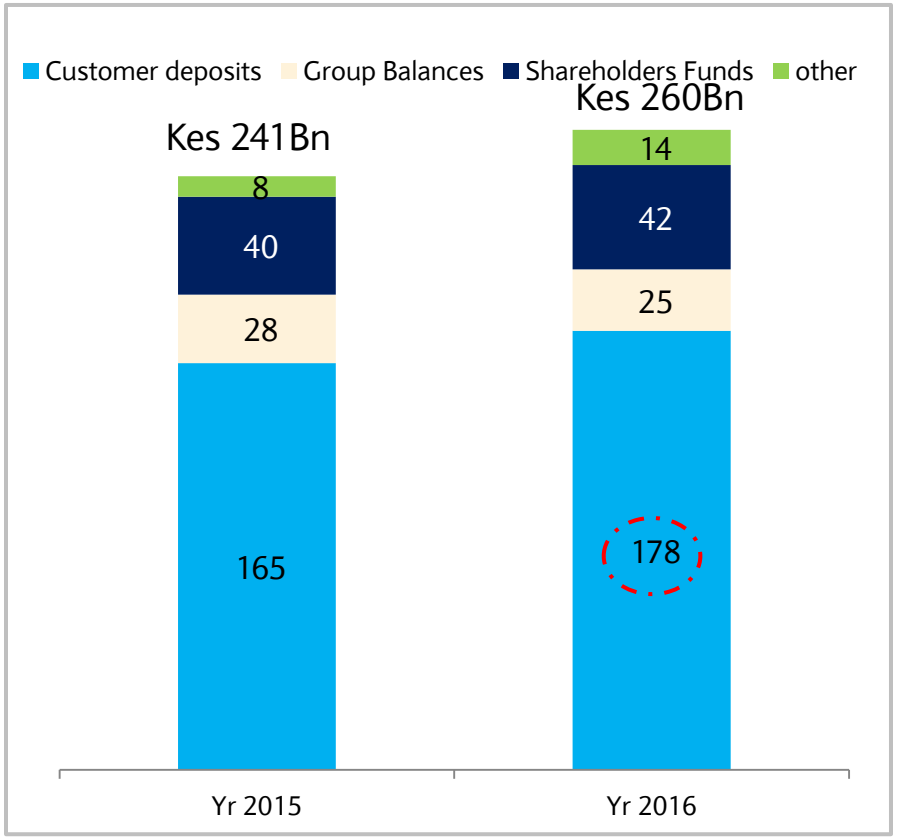
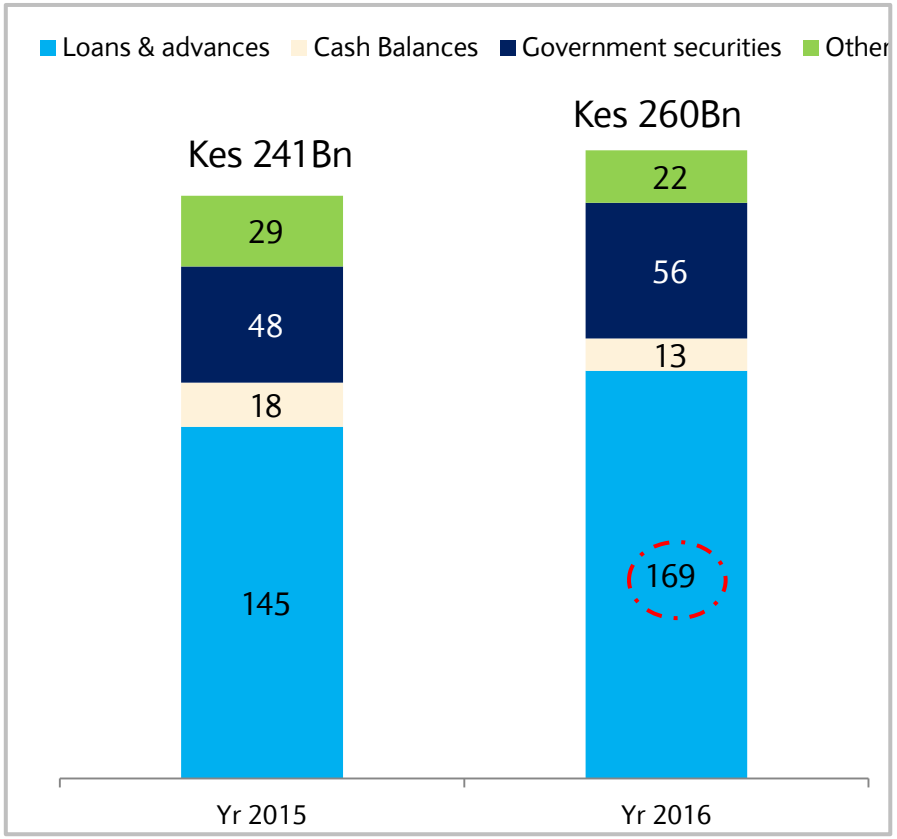
…resulting in a well structured Balance sheet

Source of funds



Use of funds



- 8% growth in Total Balance sheet to Kes 260bn (2015: Kes 241bn)
- Customer assets well funded through customer liabilities
- Loan-to-deposit ratio of 95%(2015: 88%)

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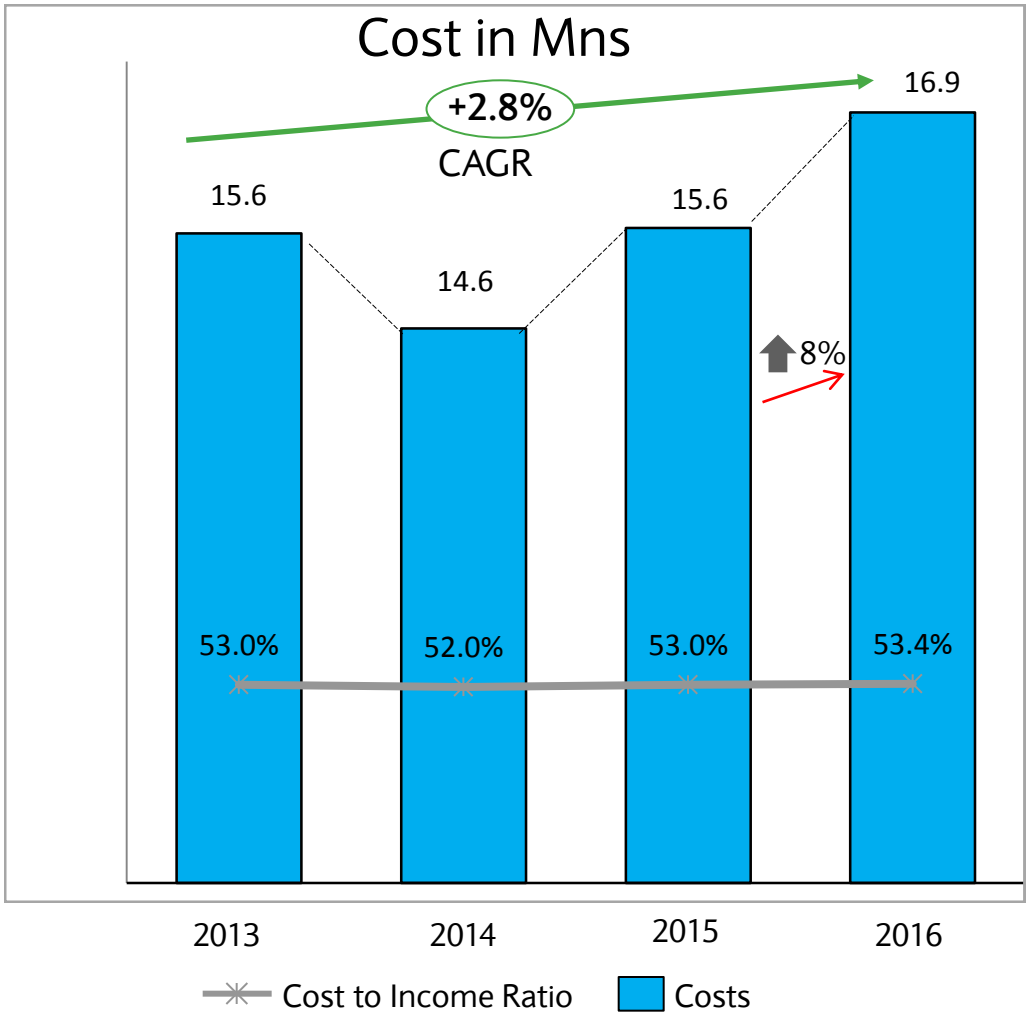
We have continued to invest for future growth whilst driving efficiency



CAGR of 2.8% below inflation despite significant investments in technology

Efficiency from :

- Investments in **technology**
  - -E-statement,
  - -Paperless Banking
- **Customer centric** channels
  - -Intelligent ATMs,
  - -Internet banking,
  - -Mobile banking
- Other **alternate** channels
  - -Agency banking

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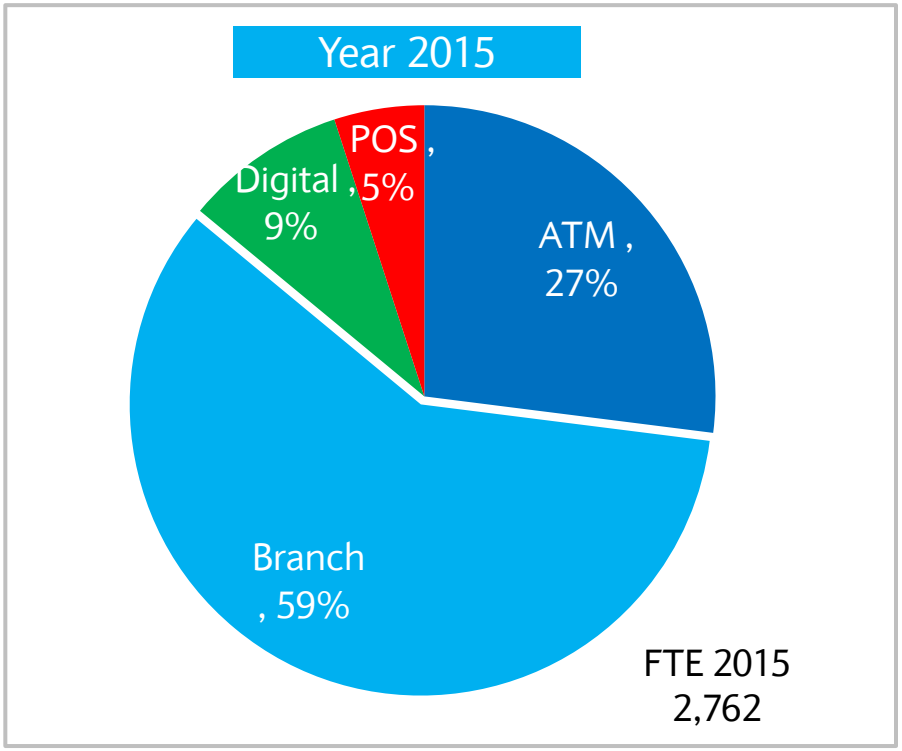
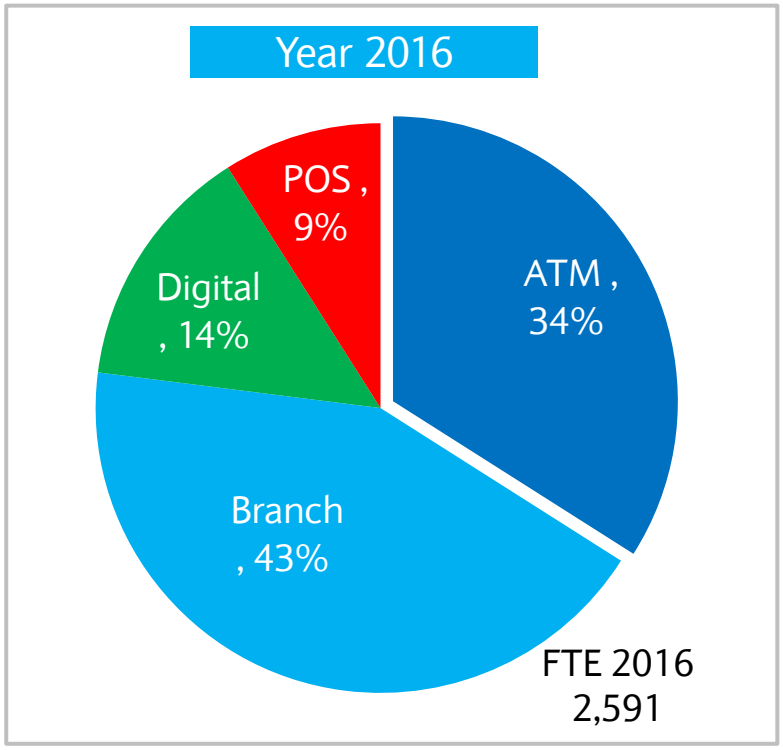
Continued investments in alternate channels driving efficiency and better customer experience





Transactions

iATM

YoY Growth 283%

Pos

YoY Growth 28%

Digital

YoY Growth 14%

Branch

YoY drop 47%

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Overall financial performance

Kes million	2015	2016	% Change
Interest Received	25,286	28,121	11%
Interest Paid	(4,875)	(5,787)	19%
Net Interest Income	20,411	22,334	9%
Non Interest Income	9,051	9,350	3%
Total Income	29,462	31,684	8%
Costs	(15,622)	(16,905)	8%
Impairment	(1,766)	(3,927)	122%
Profit Before Tax	**12,074**	**10,852**	**(10%)**
Taxation	(3,673)	(3,453)	(6%)
Profit After Tax	**8.401**	**7,399**	**(12%)**

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Dividends per share maintained at Kes 1.0 per share

Dividends	2015	2016
Interim Dividend per share (Kes)	0.2	0.2
Final Dividend per share (Kes)	0.8	0.8
Total Dividend per share (Kes)	1.0	1.0

Total Dividends (Kes million)	5,432	5,432

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Looking Forward

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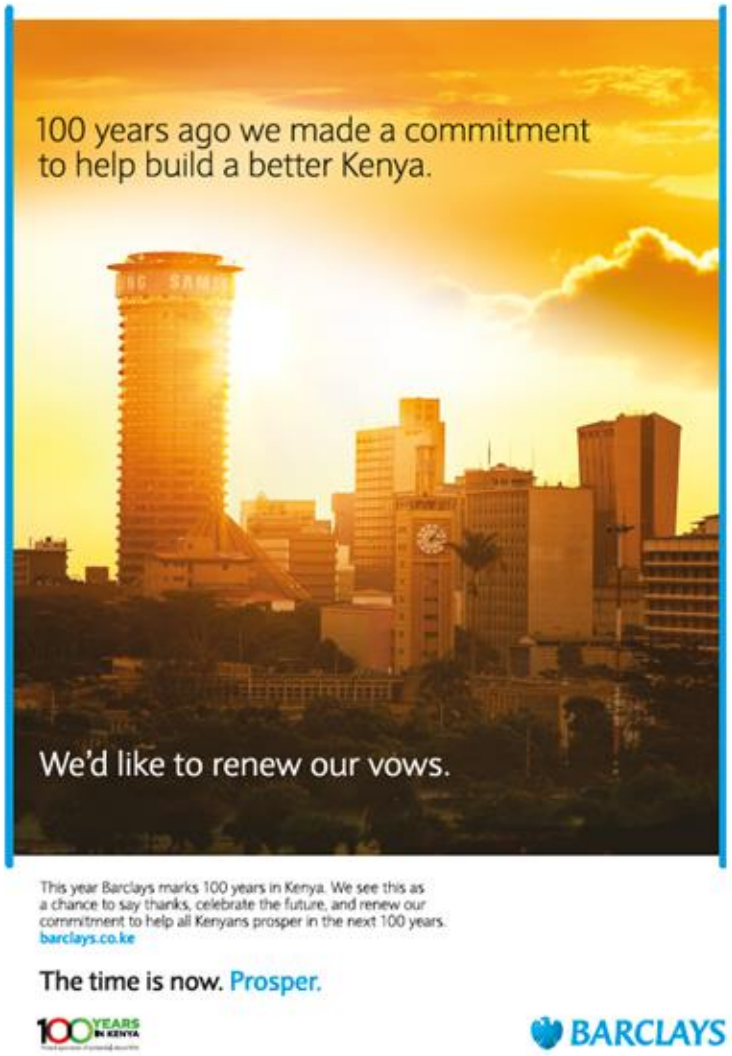
2017 represents a new dawn for our business…



- Drive even further automation and digital adoption
- Optimise our distribution channels in line with customer needs
- Innovation – launch new products & services on mobile
- Driving exceptional customer experience
- Drive efficiency and cost control measures
- Responsive to a dynamic environment

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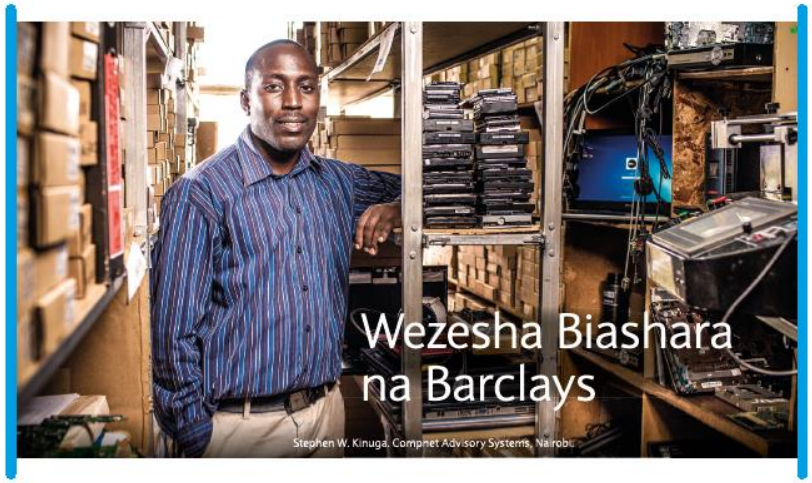
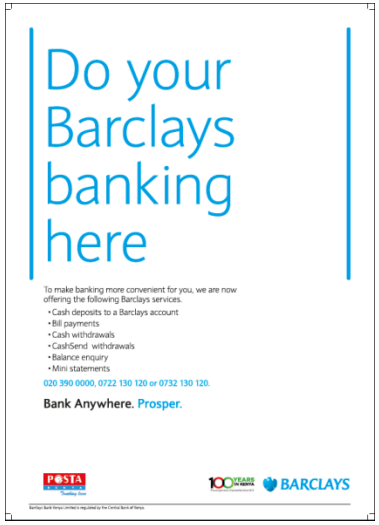
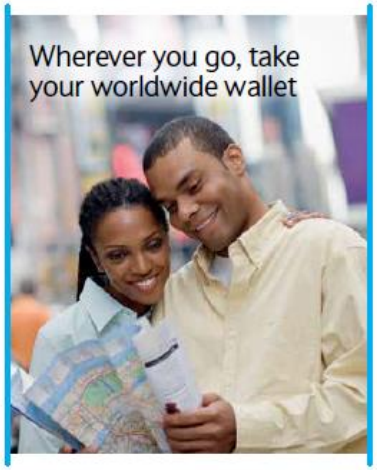
…as we endeavour to be more than a bank to you, we are your preferred financial services partner







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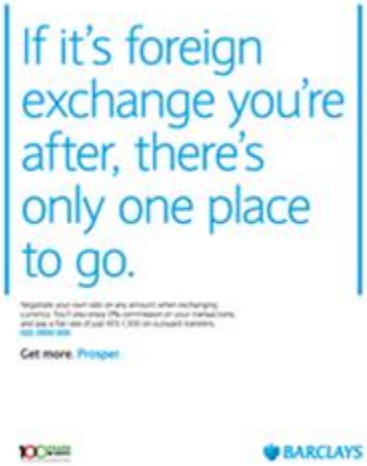

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Q & A

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Disclaimer

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Barclays Bank of Kenya. Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Barclays Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these

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